MESA SCHOOL OF BUSINESS · TERM 2

Business Metrics & Mindset

with Meet Kotak

SESSION 1

The Metric Landscape

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WHO AM I?

About Me

WHAT DO I DO?

I spend my days reading businesses: what they are, how they make money, and what they are worth.

WHERE I COME FROM?

Have seen the journey end-to-end. Have been a founder, a VC and a late-stage investor. Have helped 30+ companies scale, across sectors and stages.

WHY THIS COURSE?

Most people learn metrics as definitions. I learned them deciding where real money goes. That is the difference I want to hand you.

EDUCATION & PAST EXPERIENCE

CFA Institute

Inflexor

THE INVESTMENT TRUST OF INDIA
Growth Opportunities VCF

NKSQUARED

SELECT INVESTMENTS

KINECO

GRIP

cureskin

REDWING LABS

Fasa

THE HOSTELLER

LINKEDIN:

Ask questions, always. The best operators, investors and founders are always curious!

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COURSE INTRODUCTION

Where this sits, and where every metric comes back

#	Session	Role in the course
1	**Models, revenue engines and metric trees**	**Done**
2	Walking down a MIS + Universal metrics (across every function and key sectors)	*Today*
3	Financial ratios and cash metrics	*Vocabulary*
4	Customer economics, marketing and SAAS metrics	*Vocabulary*
5	MIS and ground-up projections (AOP)	*The build*
6	Practice: a one-screen dashboard with metrics, built live	*Applied*
7	Valuation: methods, multiples and judgement	*The judgement*
8	Practice: quantitative drill and exam prep	*Applied*

WHERE WE ARE

Session 1 gave the map. Today, the vocabulary

Four lenses last week: business model · revenue model · industry · metric tree. *Today we fill in the words that sit under them.*

What every function measures	Growth, Sales, Product, Ops, Finance. Learn the desk, learn the metric.
What every sector measures	Each sector has a fingerprint. A few numbers tell you which one you are in.
How to pick the few that matter	North Star, vanity vs decision, and the metric you choose to drop.

Everything today is vocabulary + practice. The next three sessions go deep on the chapters we open here.


Welcome to the Metrics

Agenda

1. Walking down the consumer P&L: GMV to EBITDA
2. Metrics across functions
3. Metrics across key sectors



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Objective of the day: Success of this class is measured when students will be able to:

1. Walk a consumer P&L from GMV to EBITDA, stripping one named cost at every line

2. Name the metrics each function owns, and who is accountable for them

3. Read a sector's fingerprint: the few metrics that define each kind of business

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01

STRUCTURE BEFORE NUMBERS

Reading a P&L in a D2C MIS

The P&L is a ladder from GMV to EBITDA: each rung strips one cost and sharpens the question.

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READ IT LIKE A P&L

Every line strips one cost. Here is what each holds

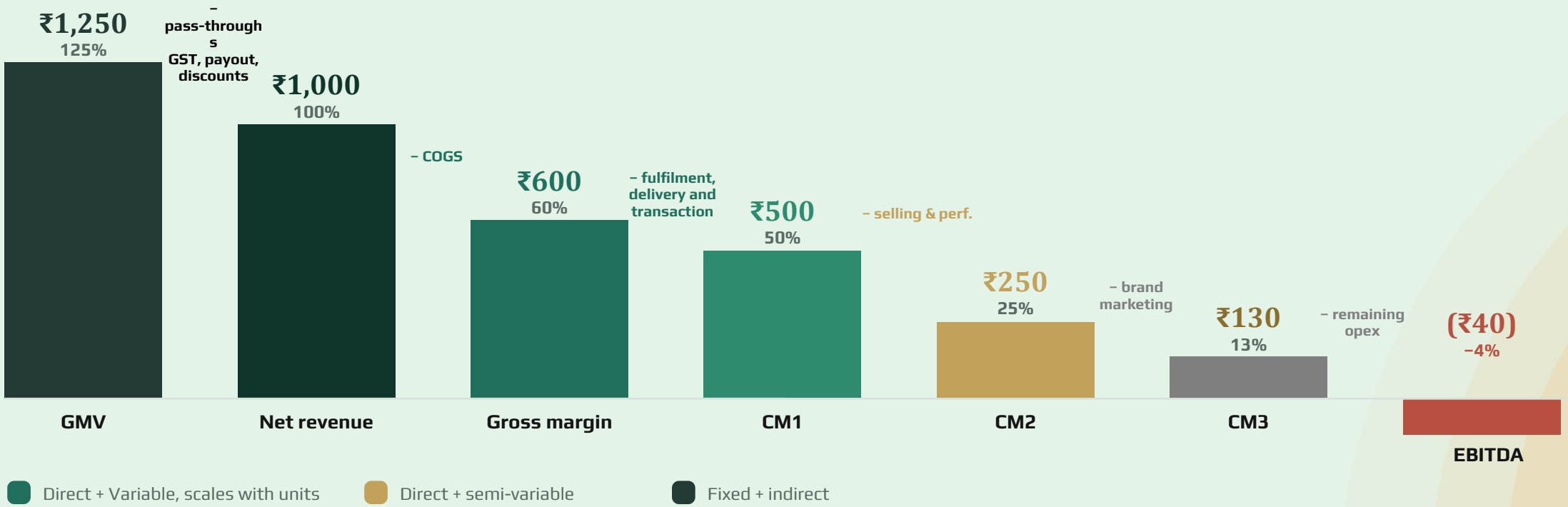
Illustrative ₹ for a loss-making month. Bold rows are the P&L milestones; the cost stripped to reach each sits beneath it.

	LINE ITEM	₹	% NET	WHAT IT INCLUDES	WHAT IT ANSWERS
	GMV	**₹1,250**	**125%**	*Full value customers transact*	*How much demand is the business generating?*
	– Non-owned revenue	(₹250)		Seller payout, discounts, returns, cancellations, GST	
DIRECT & VARIABLE	**Net Revenue**	**₹1,000**	**100%**	*What the business books as its own*	*How much of GMV do we actually book?*
	– COGS	(₹400)		Raw material, manufacturing, inbound freight, packaging	
	Gross Profit	**₹600**	**60%**	*Profit on the product after what it cost to make*	*Do I make money on the thing I sell?*
	– Fulfilment & delivery	(₹100)		Warehousing, pick-pack, 3PL, last-mile, RTO, Gateway/POS fees,	
	CM1	**₹500**	**50%**	*What's left after making and delivering*	*Does an order pay to reach the customer's door?*
	– Transaction & selling	(₹250)		Commissions, incentives, performance ads	
	CM2	**₹250**	**25%**	*What's left after winning the customer*	*Does an order pay back the cost to win it?*
	– Brand marketing & growth	(₹120)		Campaigns, sponsorships, influencers, top-of-funnel	
	CM3	**₹130**	**13%**	*What's left after building the brand*	*Does the unit still contribute after brand spend?*
	– Remaining opex	(₹170)		Central teams, tech, admin, rent, overheads	
INDIRECT & FIXED	**EBITDA**	**(₹40)**	**–4%**	*What the business keeps after running itself*	Does the whole business actually make money?

THE SPINE OF A P&L

From GMV all the way down to EBITDA

Strip one named cost at a time. Each rung answers a sharper question than the last.



The drift: Costs move from variable and direct at the top toward fixed and indirect at the bottom. CM1 to CM3 go deep in Session 5. Figures illustrative.

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CONTRIBUTION MARGINS

What each margin absorbs, and the question it answers

MESA convention, not an accounting standard. GM and CM1 overlap by definition; every cost is deducted once.

GM
Gross margin

Net Revenue – COGS

INCLUDES, AS APPLICABLE

- Raw materials & procurement
- Manufacturing, direct labour & overheads
- Inbound freight & duties
- Primary / product packaging

CM1
Product economics

GM – direct fulfilment, delivery and transaction

INCLUDES, AS APPLICABLE

- Warehousing, pick-pack, 3PL
- Outbound shipping & last-mile
- Reverse logistics, returns, RTO
- Other direct costs not in COGS
- Payment gateway, card, POS & COD fees

CM2
Unit economics

CM1 – selling & acquisition

INCLUDES, AS APPLICABLE

- Marketplace, channel & distributor commissions
- Variable sales commissions & incentives
- Performance marketing, affiliates, referrals

CM3
Growth economics

CM2 – brand marketing & growth

INCLUDES, AS APPLICABLE

- Brand campaigns & sponsorships
- Brand-building influencers & PR
- Other top-of-funnel growth spend

EBITDA
Operating economics

CM3 – remaining opex

INCLUDES, AS APPLICABLE

- Corporate & central teams (fixed)
- Customer support & success, if fixed
- Technology, software, admin & compliance
- Facility rent, overheads, allocations

TWO THINGS TO REMEMBER

Not exhaustive a real P&L has more lines; this is the teaching skeleton. **Not standardised** unlike ROE or current ratio, CM1 to CM3 have no fixed definition and shift company to company, so always check how a firm draws them (see Sajith Pai on Indian startup metrics).

EXERCISE 1

Where do these line items sit?

Raw Material	Gross Margin
Manuf. & Direct Labor	GM
Warehousing (last-mile) & Pick-Pack	CM1
PG Fees	CM1
Event Sponsorship	CM3
Reverse Logistics & RTO	CM1
Performance Marketing	CM2
Inbound Freight	GM
Affiliate Marketing	CM2
QC Platform Fees	CM2
Corporate Salaries	EBITDA
Radio Ad & Billboards	CM3

NOW YOU DO THE MATHS

EXERCISE 2

Build the P&L: sort the jumbled lines from GMV to EBITDA

Jumbled line item	Value (₹ lakh)
Brand-building influencer fees	6
GMV	100
Raw materials and manufacturing	25
Performance marketing	12
GST on sales	12
Corporate salaries, rent and admin	15
Discounts, cancellations and returns	15
Warehousing, delivery and PG	5
Marketplace commissions	4
Affiliate influencer fees and sales incentives	3
Packaging and inbound freight	2
Brand campaigns and sponsorships	3

P&L line ₹ lakh	
GMV	**100**
Less: Discounts, cancellations and returns	(15)
Less: GST	(12)
Net Revenue	**73**
Less: COGS — raw materials, mfg, packaging, freight	(27)
Gross Margin	**46**
Less: Warehousing, delivery and payment	(5)
CM1	**41**
Less: commissions, affiliate fees, incentives, performance mktg	(19)
CM2	**22**
Less: Brand campaigns and influencer fees	(9)
CM3	**13**
Less: Corporate salaries, rent and admin	(15)
EBITDA	**(2)**

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02

THE ORG CHART OF METRICS

What every function measures

Five desks. Each owns a few numbers. We open each chapter here, then go deep in the sessions ahead.

THE ONE RULE

Two truths that make the rest easy

1

Metrics travel in matched sets

Care about LTV and you inherit CAC, retention and payback. Spot the family, you have found the sector.

2

Every metric has exactly one owner

A number with no owner is a number nobody moves. Growth, margin, cash, retention: each sits on one desk.

Hold these two and metric selection stops being guesswork.

Growth and profitability

OWNED BY **Finance + the CEO**

How fast the top line grows, and how much survives to the bottom.

Revenue growth %

(This yr − Last yr) / Last yr

Volume growth or value growth? Price hikes flatter.

ARPU

Revenue / Active users

Monetisation depth. Are you squeezing more per head?

Gross margin %

(Rev − COGS) / Rev

What is left after the cost of the thing sold.

CM1 / CM2

GM − variable, then − D&M

The honest unit economics, layer by layer.

EBITDA margin %

EBITDA / Revenue

Operating profit before the accountants arrive.

Market share

Your sales / Market sales

Your slice, and whether it is still growing.

Watch for: A growth number with no margin number beside it is half a story. Read them as a pair.

Sales and marketing

OWNED BY **CMO + Head of Sales**

→ **Session 4 goes deep on CAC, LTV and channels**

What it costs to find a customer, and how efficiently the funnel converts.

CAC

S&M spend / New customers

The price of one new customer.

ROAS

Revenue / Ad spend

Return per rupee of ad money.

Conversion rate

Conversions / Visitors

How leaky the funnel is.

Win rate

Deals won / Deals fought

Sales effectiveness in one number.

Pipeline coverage

Pipeline value / Quota

3x is the usual comfort level.

CTR / CPC / CPL

clicks, cost per click or lead

The media efficiency trio.

Watch for: A dazzling ROAS can still sit on a loss-making business. Efficiency of spend is not a profit.

Product, customer success and people

OWNED BY **CPO + Head of CS**

→ **Session 4 covers cohorts and retention in depth**

Whether the product is used, loved, and delivers value fast.

Activation

Users reaching first value / Signups

Did they reach the 'aha'?

DAU / MAU

Daily actives / Monthly actives

Stickiness. The quiet truth-teller.

Feature adoption

Users of feature / Total users

What they use vs what you shipped.

NPS

% Promoters − % Detractors

Would they recommend you?

Retention / Churn

Churn = Lost / Start of period

The leaky-bucket check.

Time to value

Days from signup to first value

Speed of the 'aha' moment.

Watch for: Downloads flatter, usage does not. DAU/MAU is where the honesty lives.

Operations, supply chain and people

OWNED BY **COO + Head of Supply + HR**

Whether the machine runs full and on time, and who is running it.

Capacity utilisation

Used capacity / Total capacity

How full the plant or fleet runs.

Fill rate / OTIF

In-full, on-time / Total orders

Did the order arrive right?

Return / RTO rate

Returns / Orders shipped

A silent margin killer in e-comm.

Inventory turns

COGS / Avg inventory

How fast stock cycles in a year.

Attrition

Exits / Avg headcount

People walking out the back door.

Revenue per employee

Revenue / Headcount

Output intensity of the team.

Watch for: Six numbers across three desks. Not the glamour metrics, but the ones that quietly decide the margin.

Finance and working capital

OWNED BY **CFO + Treasury**

→ **Session 3 is entirely ratios and cash**

How fast cash comes in, how slowly it goes out, how long you can last.

DSO

(Receivables / Rev) × 365

Days to collect from customers.

DPO

(Payables / COGS) × 365

Days you take to pay suppliers.

DIO

(Inventory / COGS) × 365

Days stock sits before it sells.

Cash conversion cycle

DIO + DSO − DPO

The working-capital speedometer.

Burn / Runway

Runway = Cash / Monthly burn

Months of life at the current pace.

Free cash flow

OCF − Capex

Cash left after keeping the lights on.

Watch for: A negative cash conversion cycle means customers fund your growth. The quiet superpower of good retail.

QUICK FIRE

EXERCISE 3

Who owns this number?

Call out the desk. One word each. No overthinking.

Cash conversion cycle	Finance / CFO
Net Promoter Score	Product / CS
Pipeline coverage	Sales
Capacity utilisation	Operations
Return on ad spend	Marketing
Attrition	People / HR

The point is not the trivia. A metric with no owner never moves.

QUICK CHECK · THE DESKS

EXERCISE 4

DSO is rising, sales are flat. Whose number?

?

Think first

Days sales outstanding. Which desk owns it, and what is it warning?

✓

Finance / CFO

Customers are paying slower. Cash tightens even though sales have not moved.

Every metric has exactly one owner. Name the desk before you fix it.

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EXERCISE 5

FreshCart: the growth trap

FreshCart is an online grocery platform. Revenue is growing, but profitability, customer retention and delivery performance are deteriorating. Revenue up 50% in FY26, but EBITDA turned negative. Is growth building a healthier business?

Metric	FY25	FY26
Revenue	₹20 Cr	₹30 Cr
Marketing spend	₹3 Cr	₹6 Cr
New customers	30,000	40,000
DAU / MAU	30%	20%
90-day retention	40%	30%
Gross margin	32%	30%
EBITDA	₹1 Cr	(₹1.5 Cr)
On-time delivery	95%	85%
Cash conversion cycle	0 days	23 days

Employees	Q1	Q2	Q3	Q4
Opening	120	135	150	194
Additions	20	40	60	10
Exits	5	25	16	25
Closing	135	150	194	179

01. Revenue grew 50% but EBITDA turned negative. What does this tell us?

A) Growth always lifts profit
B) Growth need not mean profitability
C) Marketing must rise with revenue

02. Calculate FY26 customer acquisition cost (CAC) from marketing spend and new customers acquired.

03. DAU/MAU falling from 30% to 20% means weaker user engagement. True or false?

04. Calculate FY26 EBITDA margin and its change in points from FY25.

05. How could falling on-time delivery and falling 90-day retention be linked?

06. Before raising marketing spend, which two metrics or areas would you investigate, and why?

07. From the workforce table: (a) quarterly attrition on average headcount, (b) annual attrition, (c) estimated average tenure.

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EXERCISE 5

FreshCart: the growth trap

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01 · MCQ · GROWTH

Revenue grew 50% but EBITDA turned negative. What does this tell us? A) Growth always lifts profit B) Growth need not mean profitability C) Marketing must rise with revenue

→ B. Revenue growth alone is not profitable growth.

02 · CALC · SALES

Calculate FY26 customer acquisition cost (CAC) from marketing spend and new customers.

→ ₹6 Cr ÷ 40,000 = ₹1,500 per new customer.

03 · TRUE / FALSE · PRODUCT

DAU/MAU falling from 30% to 20% means weaker user engagement.

→ True. A smaller share of monthly users engage daily.

04 · CALC · PROFITABILITY

Calculate FY26 EBITDA margin and its change in points from FY25.

→ FY26 −5% (−1.5 ÷ 30) vs FY25 +5% (1 ÷ 20); down 10 points.

05 · ONE LINE · OPERATIONS

How could falling on-time delivery and falling 90-day retention be linked?

→ Late deliveries sour the experience, repeat purchase falls and retention drops, so more spend goes to replacing lost customers.

06 · JUDGEMENT · STRATEGY

Before raising marketing spend, which two areas would you investigate, and why?

→ Retention and contribution margin, with fulfilment. Confirm customers stay and pay their way before scaling acquisition.

07 · CALC · HR

From the workforce table: quarterly attrition, annual attrition, estimated average tenure.

→ Quarterly 3.9 / 17.5 / 9.3 / 13.4%; annual 71 ÷ 149.5 = 47.5%; tenure ≈ 1 ÷ 47.5% = 2.1 yrs.

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03

SAME BUSINESS, DIFFERENT DIALS

Every sector has a fingerprint

Change the sector and the dashboard changes shape. A handful of numbers tell you which one you are in.

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THE IDEA

Why sectors have fingerprints

The business model decides which numbers can even exist.

A SaaS firm	*has no occupancy*	→ **lives on retention**
A hotel	*has no churn*	→ **lives on occupancy**
A lender	*has no inventory turns*	→ **lives on credit cost**

You do not memorise sector metrics. You derive them from the model.

Marketplaces and quick commerce

Swiggy, Zomato, Amazon, Blinkit, Zepto. Connect, take a cut, own the dark store.

→ More in Session 4

NORTH STAR **Contribution margin per order (CM2)**

Take rate

Net rev / GMV *The cut kept per transaction.*

Orders / dark store / day

Density pays the fixed cost.

AOV

GMV / Orders *Bigger basket, same delivery cost.*

CM2 per order

After delivery and marketing. Survival line.

Repeat rate

No repeat, no unit economics.

Ad income %

Ad rev / Net rev *The quiet second engine.*

Live read: Zepto crossed ₹11,110 Cr revenue in FY25, up ~2.5x. Investors ask about CM2 per order, not growth.

Subscription and SaaS

Netflix, Spotify, Zoho, Freshworks. Nearly free to serve, expensive to build and sell.

→ More in Session 4

NORTH STAR **Net Revenue Retention (NRR)**

ARR / MRR

Recurring revenue, annual or monthly.

NRR

(Start + Exp − Churn) / Start *>120% is elite.*

GRR

Revenue kept before any expansion.

Rule of 40

Growth % + margin % *Above 40 is healthy.*

Magic number

ΔARR × 4 / S&M *Sales efficiency. >0.75 is solid.*

CAC payback

CAC / Gross margin *Months to recover. <12 is good.*

Live read: NRR above 100% can hide rising logo churn. You can lose customers and still grow revenue, for a while.

Fintech and lending ratios

Bajaj Finance, HDFC, Acko, every fintech that quietly became a lender or insurer.

NORTH STAR **Risk-adjusted NIM (spread after credit cost)**

AUM

Assets under management *Size of the book. Bajaj grew it ~26% FY25.*

GWP

Gross written premium *The insurer's top line.*

NIM

(Int income − Int exp) / Assets *The lender's gross margin.*

GNPA and NNPA

Bad loans / Total loans *Asset quality. The brake pedal.*

Credit cost

Provisions / Avg assets *The price of lending badly.*

Collection efficiency

Collected / Due *Of what is due, how much came in.*

Live read: In lending, growth is easy and quality is hard. Anyone can lend fast. The skill is getting it back.

Capacity-led and manufacturing

Hotels, hospitals, airlines, steel, cement. You sell a room, a seat, or a tonne of capacity.

NORTH STAR **Revenue per available unit · asset returns**

Occupancy / Load factor

Used / Available *How full the capacity runs.*

RevPAR / ARPOB

Occupancy × rate *Real yield per room or bed.*

Capacity utilisation

Output / Capacity *The factory equivalent.*

Asset turnover

Revenue / Assets *How hard the assets work.*

EBITDA per unit

Profit per room, bed or tonne.

Input cost %

Input cost / Revenue *The volatility to watch in manufacturing.*

Live read: In asset-heavy businesses the return ratios (ROA, ROCE, ROIC) become the real test. We teach those next session.

BREATHER · THREE THINGS TO DROP AT DINNER

Metrics have a sense of humour

1

Costco makes its money on a card

Most of Costco's profit is the membership fee, not the groceries. The aisles roughly break even. The revenue model hides in plain sight.

2

Amazon's cash machine is AWS

The shopping empire runs on thin retail margins. Most of the operating profit comes from the cloud nobody sees.

3

Netflix changed its own scoreboard

For years it sold the story on subscriber adds. The day it switched to engagement and revenue per member, the whole narrative shifted.

CASE · SECTOR METRICS

EXERCISE 6

Metrics across business models

Six sectors, six numbers. Show the working and read the economics behind each.

01 · MARKETPLACES & Q-COMMERCE · CALC

A marketplace processes ₹500 Cr of GMV and ₹75 Cr of net revenue. Calculate its take rate.

02 · SUBSCRIPTION & SAAS · CALC

A SaaS firm starts with ₹100 Cr of recurring revenue, adds ₹25 Cr of expansion and loses ₹10 Cr to churn and downgrades. Calculate Net Revenue Retention (NRR).

03 · FINTECH & LENDING · INTERPRET

A lender's GNPA ratio rises from 2% to 4% while NNPA stays broadly flat. What could explain the divergence, and what would you check next?

04 · CAPACITY & MANUFACTURING · CALC

A factory makes 80,000 units against an installed capacity of 1,00,000 units. Calculate capacity utilisation.

05 · SUBSCRIPTION & SAAS · INTERPRET

A SaaS firm reports 60% revenue growth and a −25% EBITDA margin. Does it satisfy the Rule of 40? Explain briefly.

06 · QUICK COMMERCE · CALC + JUDGEMENT

A q-commerce store earns ₹40 contribution per order; each dark store costs ₹8 lakh a month and does 1,000 orders a day. Over 30 days, find the monthly contribution after fixed costs. Is the store contribution-positive?

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EXERCISE 6

Metrics across business models

Six sectors, six numbers. Show the working and read the economics behind each.

01 · MARKETPLACES & Q-COMMERCE · CALC

A marketplace processes ₹500 Cr of GMV and ₹75 Cr of net revenue. Calculate its take rate.

→ Take rate = 75 ÷ 500 = 15%.

02 · SUBSCRIPTION & SAAS · CALC

A SaaS firm adds ₹25 Cr of expansion and loses ₹10 Cr on a ₹100 Cr base. Calculate Net Revenue Retention.

→ NRR = (100 + 25 − 10) ÷ 100 = 115%.

03 · FINTECH & LENDING · INTERPRET

A lender's GNPA rises from 2% to 4% while NNPA stays broadly flat. Explain, and what next?

→ Likely higher provisions holding NNPA flat as GNPA rises. Check provision coverage, write-offs, recoveries and loan-book quality; the ratios alone do not prove the cause.

04 · CAPACITY & MANUFACTURING · CALC

A factory makes 80,000 units against 1,00,000 units of installed capacity. Calculate capacity utilisation.

→ Utilisation = 80,000 ÷ 1,00,000 = 80%.

05 · SUBSCRIPTION & SAAS · INTERPRET

A SaaS firm reports 60% revenue growth and a −25% EBITDA margin. Does it satisfy the Rule of 40?

→ Rule of 40 = 60% + (−25%) = 35%. Below the 40% benchmark, so no.

06 · QUICK COMMERCE · CALC + JUDGEMENT

₹40 contribution per order; dark store costs ₹8 lakh a month, 1,000 orders a day over 30 days. Monthly contribution after fixed costs? Positive?

→ 30,000 × ₹40 = ₹12 lakh; less ₹8 lakh fixed = ₹4 lakh positive. Contribution-positive before central overheads.

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04

THE NUMBER ABOVE THE NUMBERS

The North Star

One metric the whole company rows toward. Pick it well and the rest fall in line. Pick it badly and you optimise the wrong thing.

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LENS · NORTH STAR

One metric the whole company rows toward

Not revenue. The leading number that, if it moves, revenue follows.

Airbnb Nights booked	**Spotify** Time spent listening	**WhatsApp** Messages sent
Amazon Purchases per Prime member	**Swiggy** Orders per monthly active	**Zoho** Net revenue retention

The pattern: every North Star is a unit of real value delivered, not money collected.

WATCH OUT

Vanity versus decision

A good metric changes what you do tomorrow. A vanity metric only feels good.

VANITY

- ✗ Total registered users
- ✗ App downloads
- ✗ Page views
- ✗ Gross impressions
- ✗ Cumulative GMV ever

DECISION

- ✓ Weekly active users
- ✓ Activation rate
- ✓ Conversion rate
- ✓ CM2 per order
- ✓ Repeat rate by cohort

The test: if this number doubled overnight, would I actually do anything differently?

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THE ONE THING TO KEEP

Learn the desk, learn the metric. Then cut to the few that matter.

Function owner · Sector fingerprint · North Star · The honest drop

NEXT SESSION

Financial, capital-efficiency and cash metrics: reading a business by its ratios

Annexure

No.	Difficulty	Line item	Answer	Reason
1	Easy	Raw material costs	Gross Margin	Direct cost of materials used to manufacture the product.
2	Easy	Manufacturing costs	Gross Margin	Direct manufacturing costs incurred to produce the product.
3	Easy	Direct labour	Gross Margin	Wages of workers directly involved in manufacturing the product.
4	Easy	Inbound freight and duties	Gross Margin	Costs of procuring and bringing materials into the business.
5	Easy	Warehousing and pick-pack	CM1	Costs incurred to store, handle and prepare orders for dispatch.
6	Easy	Payment gateway fees	CM2	Fees incurred to process customer payments.
7	Easy	Brand campaign and sponsorship costs	CM3	Spend intended to build brand awareness and long-term demand.
8	Easy	Corporate and central team salaries	EBITDA	Overheads required to run the overall business.
9	Medium	Reverse logistics and RTO costs	CM1	Costs of returns, failed deliveries and moving goods back through the logistics network.
10	Medium	Performance marketing and affiliate commissions	CM2	Costs of acquiring customers through performance-led marketing and referrals.
11	Medium	Brand-building influencer fees and PR	CM3	Spend focused on awareness, recall and long-term brand equity.
12	Medium	Technology, software and admin costs	EBITDA	Operating expenses that support the overall business.
13	Medium	Sales team incentives linked to completed orders	CM2	Variable selling costs linked to transactions or sales generated.
14	Difficult	Wealth manager or agent commissions	CM2	Commissions paid for distributing a product or acquiring a customer transaction.
15	Difficult	QC platform commissions	CM2	Commission paid to a platform or channel partner for facilitating a sale.
16	Medium	Influencer fees linked to affiliate sales	CM2	Fees tied to conversions or sales, making them a customer acquisition cost rather than brand-building spend.

Annexure: Read a jewellery retailer

Omnichannel diamond brand. Illustrative figures, loosely modelled on a real listed-track peer.

FY25 · illustrative	
Revenue	₹1,770 Cr
COGS (materials)	₹1,098 Cr
EBITDA	₹133 Cr
Net loss	(₹222) Cr
Stores	275
Online share	~7%
Avg ticket	₹55,000

Illustrative teaching figures. Live market data may be dropped in later.

NUM Compute gross margin %. Is it fat or thin for jewellery?

NUM Compute EBITDA margin %. Reconcile it against the net loss.

MCQ The main cash drag here is: (a) marketing (b) inventory (c) salaries (d) rent

NUM Revenue per store? What does it miss that SSSG would catch?

WORD One line: why can revenue grow 40% while losses widen?

Annexure: Read a 10-minute grocery app

A dark-store q-commerce player. All figures illustrative and per-order unless stated.

PER ORDER · illustrative	
AOV (GMV/order)	₹450
Take + product margin	₹90
Delivery cost	₹45
Marketing / order	₹25
Packaging + gateway	₹10
Orders / store / day	1,200
Dark store fixed / mo	₹12 L

Illustrative. CM3 would further deduct fixed-cost allocation per order.

NUM	Compute CM1 and CM2 per order. Is the order profitable?
NUM	CM2 per store per day, then per month. Does it cover fixed cost?
MCQ	Fastest lever to CM2+: (a) raise AOV (b) cut delivery (c) more ads (d) more stores
NUM	Roughly how many orders/day for the store to break even?
WORD	One line: why is 'orders per dark store' the North Star here?